

SENATE BILL 926

By Gardenhire

AN ACT to amend Tennessee Code Annotated, Title 39,
Chapter 17, Part 15 and Title 62, relative to the
sale of vapor products.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 39-17-1510, is amended by designating the existing language as subsection (a) and adding the following as a new subsection (b):

Notwithstanding subsection (a), a person who sells or distributes a vapor product to an individual under twenty-one (21) years of age in violation of § 39-17-1504(a) or § 39-17-1507(b) commits a Class A misdemeanor.

SECTION 2. Tennessee Code Annotated, Title 62, Chapter 76, Part 1, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Accessory" means any product that is intended or reasonably expected to be used for the human consumption of a vapor product;

(2) "Age-restricted vapor product business" means any business that:

(A) Requires persons to be twenty-one (21) years of age or older to enter the premises of the business;

(B) Determines the age of the customer through authentication and verification of the purchaser's photo identification; and

(C) Derives no less than seventy-five percent (75%) of its gross sales from the sale of vapor products and accessories;

(3) "Commissioner" means the commissioner of commerce and insurance;

(4) "Department" means the department of commerce and insurance;

(5) "Retailer" means a person who sells vapor products to a consumer for any purpose other than resale; and

(6) "Vapor product" means a noncombustible product that employs a heating element, battery, power source, electronic circuit, or other electronic, chemical, or mechanical means, regardless of shape or size and including the component parts and accessories thereto, that can be used to deliver vaporized nicotine or other substances to users inhaling from the device. "Vapor product" includes, but is not limited to, any device deemed to be an electronic nicotine delivery system by the United States food and drug administration, any electronic cigarette, electronic cigar, electronic cigarillo, electronic pipe, or similar product or device and every variation thereof, regardless of whether marketed as such, and any vapor cartridge or other container of a liquid solution or other material that is intended to be used with or in an electronic cigarette, electronic cigar, electronic cigarillo, electronic pipe, or other similar product or device.

(b)

(1) Notwithstanding another law to the contrary and except as provided in subdivision (b)(2), beginning December 1, 2025, no person, firm, or corporation shall:

(A) Operate as a retailer selling vapor products in this state without first obtaining a vapor product business license issued by the department; or

(B) Sell, at retail, a vapor product to a customer except through a face-to-face sales transaction at a licensed, age-restricted vapor product business.

(2) Persons engaged in display, exhibition, or sale of vapor products, including flavored vapor products, at trade shows or exhibitions are not required to obtain a vapor products business license; provided, that:

(A) Access to the portion of the trade show's venue where vapor products are displayed, offered for sale, or sold is restricted to persons who are twenty-one (21) years of age or older;

(B) Each attendee of the trade show, as a condition of admission to the venue, presents a photo identification to verify age; and

(C) Manufacturers, distributors, or retailers whose vapor products are displayed, offered for sale, or sold at the venue shall conduct a secondary age authentication and verification prior to commencing the retail sale transaction for any vapor product.

(c)

(1) Each application for a vapor products business license must be made in a form prescribed by the department, along with the license fee, and any supporting documentation required by the department. The license may be renewed annually. The vapor products business license must be posted in a conspicuous place on the premises of the business where vapor products are sold.

(2) The license shall remain in full force and effect from the date of issuance until the next occurring January 1 unless it is surrendered by the licensee, suspended, or revoked.

(3) The fee for each license is two hundred fifty dollars (\$250) per year for each licensed premises, and the fee is payable to the department.

(4) The license is not transferable from one (1) person to another or from one (1) location to another location. A new license is required whenever a retailer has a change in ownership.

(d)

(1) The commissioner shall approve or deny every application for a license within sixty (60) days from the receipt of a completed application.

(2) If the application is denied, the:

(A) License is not issued;

(B) License fee is returned to the applicant;

(C) Applicant must be notified of the commissioner's denial, which must include the reason for the denial; and

(D) Applicant may appeal the denial and request an administrative hearing on the matter in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(3) If the commissioner permanently revokes a license pursuant to subsection (e), the commissioner shall:

(A) Notify the applicant within ten (10) days of the decision to revoke the license;

(B) Commence a hearing on the license revocation in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5; and

(C) Issue a final order explaining the decision and facts supporting the license revocation. A final order of the commissioner is appealable to the chancery court in the jurisdiction of the licensee.

(4) The department shall promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, to implement this section, including establishing a procedure for administering citations, issuing orders, and filing appeals under this section.

(e)

(1) The department shall:

(A) Investigate the information provided in each vapor product business licensure application; and

(B) If the license is approved, conduct random inspections or compliance checks of the licensee not less than once annually during normal business hours or as deemed appropriate by the commissioner.

(2) Any violation found during a compliance check shall be rechecked by the department's enforcement division:

(A) Not earlier than one (1) month nor later than three (3) months after a notice of violation is issued to the licensee; or

(B) As soon as the commissioner deems practicable.

(3) Notwithstanding another law to the contrary and in addition to any other fines or penalties that may apply, a retailer who violates subdivision (b)(1) is subject to a civil penalty of:

(A) Five thousand dollars (\$5,000) for the first violation;

(B) Ten thousand dollars (\$10,000) for the second violation within three (3) years;

(C) Twenty-five thousand dollars (\$25,000) and a fifteen-day suspension of the vapor license for a third or subsequent violation within three (3) years; and

(D) Revocation of the license shall occur upon the fourth violation within three (3) years.

SECTION 3. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2025, the public welfare requiring it.